



Rating
Buy

Asia
China

Telecommunications
Telecommunications

Company
VNET Group

Reuters
VNET.OQ

Bloomberg
VNET US

Exchange
NSM

Ticker
VNET

Date
7 July 2026

Initiation of Coverage

Price at 6 Jul 2026 (CNY)	7.81
Price target - 12mth (CNY)	12.50
52-week range (CNY)	14.03 - 6.97
Unavailable	23,616

Transformation generates value-add - Initiate at BUY

Transformation generating value

VNET is one of China's leading carrier-neutral data center operators, serving more than 7,000 enterprise customers through a combination of retail colocation, wholesale hyperscale data centers, cloud services, and enterprise networking. While historically driven by retail IDC services, the company is now undergoing a significant business mix shift toward becoming a hyperscale-focused data center developer benefiting from AI and cloud demand.

Strong bookings, a deep development pipeline, rising utilization, improving margins, and access to capital underpin forecasts for sustained strong growth through at least 2028. Management is targeting a 10GW build out. We assume only half of that build, but this still would represent a transformative increase in scale and earnings power.

Demand has accelerated as AI and cloud customers resume capacity expansion following improved chip availability. VNET has materially outperformed peers in bookings, securing 517MW YTD compared with GDS's 334MW, including a 510MW order from ByteDance. These projects are expected to be delivered between 2H26 and 1H28 and should drive a meaningful acceleration in revenue and EBITDA, particularly from 2027 onward as utilization ramps.

VNET also possesses substantial development optionality. The company has over 1GW of reserved wholesale capacity, primarily in Ulanqab, where construction costs are lower while economics remain attractive. Management is targeting further expansion across Inner Mongolia and key "East Data, West Compute" locations.

Funding appears manageable despite an aggressive RMB10-12bn annual capex program. The successful monetization of mature data centers at 13-14x EV/EBITDA through REIT listing provides an important source of capital and could support a self-reinforcing development model. Assets with a value of RMB6.4bn have been 70% sold down YTD through such channels.

The recent acquisition of a major stake by a CATL affiliate removes a shareholder overhang and strengthens confidence in VNET's strategic direction. While potential operating synergies remain uncertain, CATL's involvement could

Valuation & Risks

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Price/price relative



Performance (%)	1m	3m	12m
Absolute	-11.7	-3.6	0.8
HANG SENG INDEX	-5.4	-6.0	-1.3

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	-24.1
Net debt/equity (%)	97.1
Book value/share (CNY)	6.52
Price/book (x)	1.2
Net interest cover (x)	1.3
Operating profit margin (%)	8.7

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

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enhance financing access, energy-storage expertise, and support future overseas expansion.

Our estimates do not account for the potential value add from the company's development model, yet we still estimate the company's stock to be worth USD12.50 per share based on our DCF estimate, helped by its ramp up. We are also attracted to its wide discount to peer multiples. We therefore initiate with BUY. Key downside risks include: 1) With high growth in both industry supply and demand this is a risk of oversupply and/or demand slowdown, and 2) Execution and funding risks surrounding its plans for a rapid build out.



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Company highlights

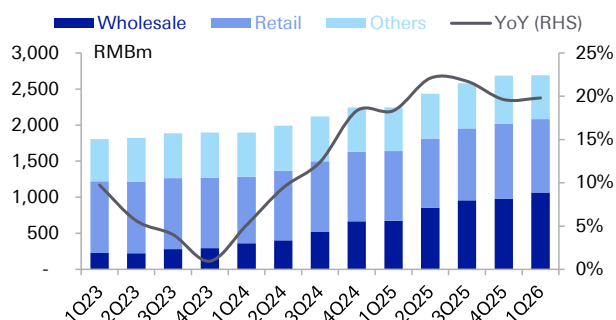
From retail to wholesale

VNET is a leading carrier-neutral data center service provider in China. It operates one of the largest third-party IDC networks domestically, concentrated around Tier-1 cities, and serves a diversified base of over 7,000 enterprise customers.

The company provides managed hosting services (IDC), which includes colocation, inter-connectivity, and other value-added services, as well as cloud and business VPN services (non-IDC). We summarize its business segments below:

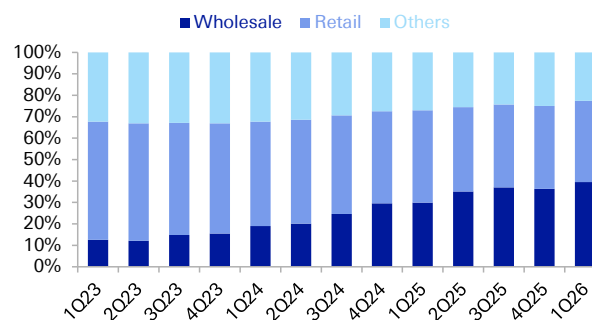
- **Wholesale IDC:** ~40% of 1Q26 net revenues; providing large-scale, customized data center sites for cloud hyperscalers. Introduced in 2019, this business has become the company's **key growth driver**, with revenues increasing 58.1% YoY in 1Q26. Meanwhile for the first time, wholesale surpassed retail in terms of revenues, marking a significant milestone in the company's dual-core growth strategy.
- **Retail IDC:** ~38% of 1Q26 net revenues; retail IDC offers standard cabinet colocation, either dedicated or shared, as well as inter-connectivity and a suite of VAS such as hybrid IT, bare metal services, and firewall management. This segment serves a diverse customer base, from blue-chip enterprises to SMEs across various industries. VNET has maintained a high retention rate, with core IDC business churn rate consistently below 1%.
- **Non-IDC business:** ~22% of 1Q26 net revenues; this segment consists of cloud services and VPN services. Through a long-term strategic partnership in place since 2013, VNET is Microsoft's partner in mainland China for cloud offerings (Azure, Microsoft 365, Dynamics 365, and Power Platform), operating under a revenue-sharing model with monthly settlement and performance-based incentives. The VPN business is offered under brand DYXnet, covering enterprise-grade network solutions like MPLS and SD-WAN, across Asia.

Figure 1: VNET revenue and YoY growth



Source : Company data, Deutsche Bank

Figure 2: VNET revenue breakdown



Source : Company data, Deutsche Bank



Figure 3: VNET IDC business overview & major clients



Source : VNET 1Q26 results presentation

Strong bookings momentum to support revenue acceleration

We believe VNET is entering a notable revenue expansion phase, underpinned by the rapid scaling of wholesale IDC and the stabilization of retail IDC and Non-IDC businesses.

The order trend in the wholesale market has recovered since mid-2025 due to better chip availability, and VNET has so far displayed exceptional bookings momentum, outpacing its major IDC competitors. It secured 199MW new bookings in 2H25 and 517MW YTD, compared with 90MW and 334MW at GDS during the same period.

510MW of YTD bookings is from ByteDance for two data center campuses in the Greater Beijing Area. The delivery is scheduled in three phases: one-third in 2H26, one-third in 1H27, and the remainder in 2H27-1H28. Given ByteDance typically ramps up quite fast, we anticipate these capacities will quickly translate into revenue and EBITDA contributions for VNET.

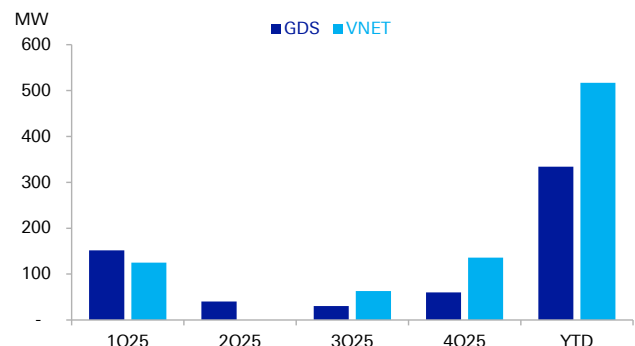
With that said, the delivery pattern for the next 12 months is back-end loaded. The company guided for 2026 capacity delivery to add 450-500MW, of which over 80% should be in 2H based on our estimates. Coupled with some time for customer move-in and utilization to pick up, we think the revenue growth for 2027 should be better than 2026. Overall, we estimate revenue growth of 18.2% for 2026, in line with the guided range of 15.6%-18.6%, and 19.5%/19.6% for 2027/28.

Figure 4: New bookings vs. wholesale rev YoY



Source : Company data, Deutsche Bank
Notes: Revenue growth figure are shifted forward by two quarters to align the order intake cycle

Figure 5: New orders signed vs. peers by quarter



Source : Company data, Deutsche Bank

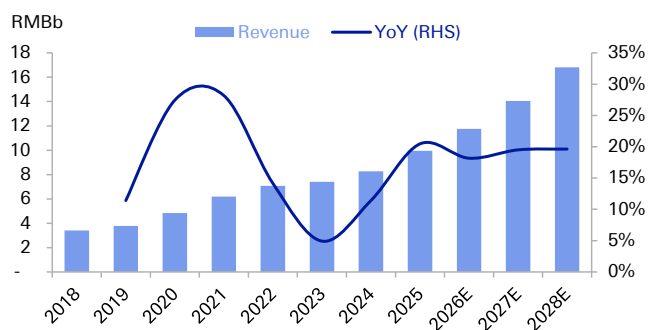


Figure 6: Current capacity under construction & delivery pipeline

IDC Code	Tenure	1Q26	2Q26E	3Q26E	4Q26E	1Q27E
Yangtze River Delta		-	-	44	-	-
E-JS Campus 03B	Owned	-	-	44	-	-
Greater Beijing Area		18	66	140	124	142
N-HB Campus 02	Owned	-	-	-	59	-
N-HB Campus 03	Owned	18	4	-	-	-
N-HB04	Leased	-	-	7	-	14
N-OR Campus 01	Owned	-	9	-	-	-
N-OR Campus 02A	Owned	-	28	73	-	-
N-OR Campus 02B	Owned	-	-	-	65	-
N-OR Campus 03	Owned	-	25	60	-	128
Total		18	66	184	124	142

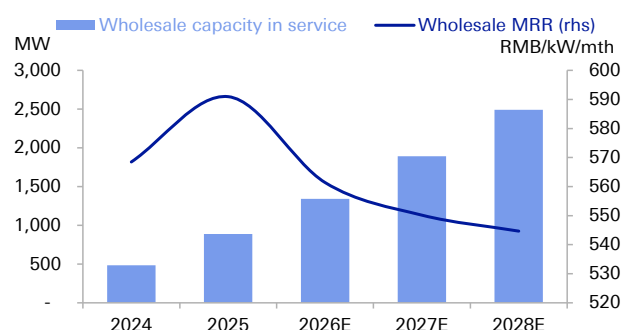
Source : Company data, Deutsche Bank estimates

Figure 7: Revenue & YoY growth forecasts



Source : Company data, Deutsche Bank estimates

Figure 8: Wholesale capacity & MRR forecasts



Source : Company data, Deutsche Bank estimates

Land reserves as delivery backup

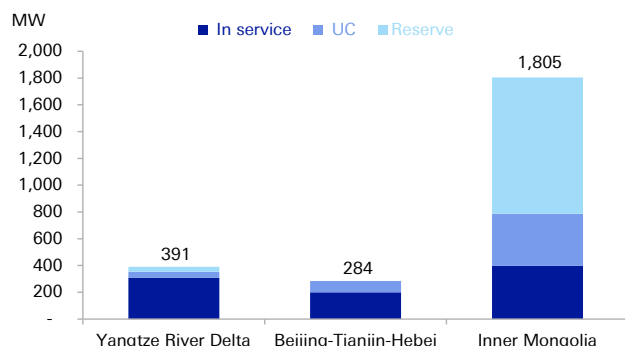
The company holds 1,056MW wholesale capacity reserves for future development as of 1Q26, mostly concentrated in Ulanqab, of which 697MW is for short-term and 359MW for long-term deployment. We highlight in the later section ([Economics in the west](#)) that the unit capex for data center construction in Ulanqab is ~10% lower than in Tier-1 cities, while development yield remains similar; and Ulanqab is favored by hyperscalers for lower utility and rental costs and attractive latency.

Management has confirmed that these reserves were either obtained before the "window guidance" came into practice or have already secured power quotas, which allows them to fast-track delivery by commencing construction immediately upon receiving client orders.

Looking ahead, the company plans to further increase its reserves in Inner Mongolia, the Yangtze River Delta, and two or three key nodes along the "East Data, West Compute" route, as part of its long-term expansion plan. Land acquisition accounts for only low-single-digit percentages of the unit capex, so funding the land bank is manageable.

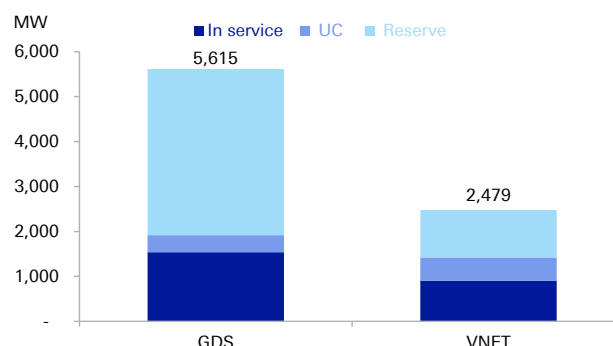


Figure 9: VNET's total backlog by region



Source : Company data, Deutsche Bank

Figure 10: Total backlog vs. peers as of 1Q26



Source : Company data, Deutsche Bank

Figure 11: VNET's wholesale data center portfolio

(As of Mar 31, 2026)		Wholesale capacity in service (MW)					Wholesale capacity under construction (MW)				
IDC Code	Tenure	In service	Utilized	Committed	Utilization rate	Commitment rate	Under construction	Pre-committed	Pre-commitment rate	Ready for service	Held for future
Yangtze River Delta		310	276	310	89.2%	100.0%	44	44	100.0%	/	37
as % of total		34.1%	40.2%	35.7%			8.5%	9.9%			3.5%
E-JS Campus 01 Phase 1	Owned	28	27	28	95.0%	100.0%					
E-JS Campus 01 Phase 2	Owned	16	13	16	79.0%	100.0%					
E-JS Campus 02A	Owned	25	24	25	95.7%	100.0%					
E-JS Campus 02B	Owned	24	24	24	99.8%	100.0%					
E-JS Campus 02C	Owned	26	26	26	98.1%	100.0%					
E-JS Campus 02D	Owned	26	26	26	99.8%	100.0%					
E-JS Campus 02E	Owned	64	56	64	87.7%	100.0%					
E-JS Campus 03A	Owned	32	29	32	90.3%	100.0%					
E-JS Campus 03B	Owned						44	44	100.0%	2H26	
E-JS02A	Leased	13	13	13	96.8%	100.0%					
E-JS02B	Leased	13	13	13	97.3%	100.0%					
E-JS02C	Leased	13	12	13	95.0%	100.0%					
E-JS03	Leased	15	15	15	97.4%	100.0%					
E-JS04	Leased	15	1	15	4.4%	100.0%					
Greater Beijing Area		598	411	559	68.7%	93.6%	472	399	84.4%	/	1,019
as % of total		65.9%	59.8%	64.3%			91.5%	90.1%			96.5%
BJ15	Owned	9	-	-	0.0%	0.0%					
N-HB02 Phase 1	Owned	28	27	28	96.9%	100.0%					
N-HB Campus 01A	Owned	35	6	6	16.6%	16.6%					
N-HB Campus 01B	Owned	36	32	36	88.7%	100.0%					
N-HB Campus 02	Owned						59	-	0.0%	2H26	
N-HB Campus 03	Owned	47	11	47	22.8%	100.0%	4	4	91.4%	1H26	
N-OR Campus 01	Owned	152	129	152	84.7%	100.0%	9	9	100.0%	1H26	
N-OR Campus 02A	Owned	117	53	117	45.5%	99.7%	101	101	100.0%	2H26	
N-OR Campus 02B	Owned						65	65	100.0%	2H26	
N-OR Campus 03	Owned						213	213	100.0%	2H26/1H27	
N-HB02 Phase 2	Leased	19	19	19	97.7%	100.0%					
N-HB03	Leased	12	11	12	88.3%	100.0%					
N-HB04	Leased	14	5	14	34.2%	100.0%	21	7	33.0%	2H26/1H27	
N-OR02	Leased	29	28	29	96.7%	100.0%					
N-OR04	Leased	14	13	14	95.2%	100.0%					
N-OR05	Leased	16	15	16	93.4%	100.0%					
N-OR06	Leased	32	31	32	95.8%	100.0%					
N-OR07A	Leased	19	18	19	92.8%	100.0%					
N-OR08A	Leased	19	15	19	76.4%	100.0%					
Total		908	687	869	75.7%	95.8%	516	443	85.8%	/	1,056

Source : Company data, Deutsche Bank

Favorable mix shift to drive margin expansion

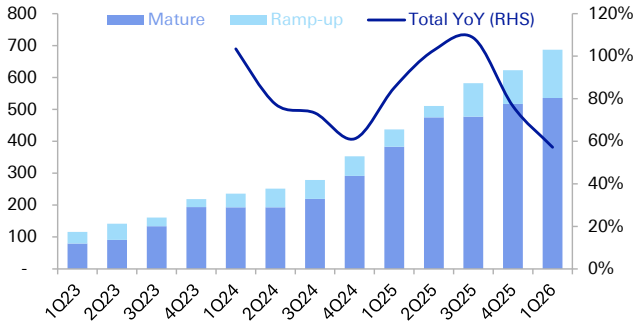
The wholesale business carries an adj.EBITDA margin of 45-50%, compared to 30-35% margin of the retail IDC business (which is lower due to lower utilization and connectivity that is largely passed through), and low-teens margin of the non-IDC segment. As the wholesale segment's share of revenue grows, we expect it to provide a significant tailwind for the company's overall profitability.

While retail data centers command higher rental rates in the market, they typically require a longer period (3-4 years) to reach a mature-level utilization of ~70%. In contrast, wholesale projects, anchored by large-scale orders from clients, usually achieve a higher utilization rate of over 90% within 6-12 months. In 1Q26, VNET's mature wholesale capacity reached a utilization rate of 93.8%, compared with 68.5% for retail.



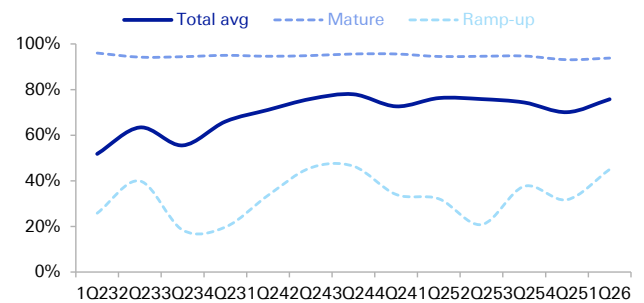
We therefore estimate VNET's adj.EBITDA margin to reach 32.3%/34.9%/36.3% in 2026/27/28, driven by the higher mix of wholesale and its average utilization ticking up as projects mature. Our estimates for wholesale utilization are to reach 71.6%/73.1%/74.6% for the same period, while retail remains largely stable at 64%.

Figure 12: Wholesale capacity utilized



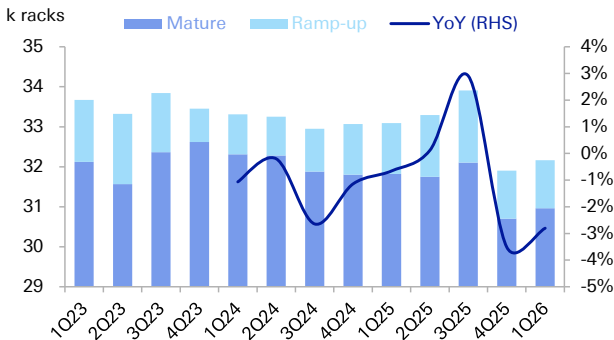
Source : Company data, Deutsche Bank

Figure 13: Wholesale utilization rate



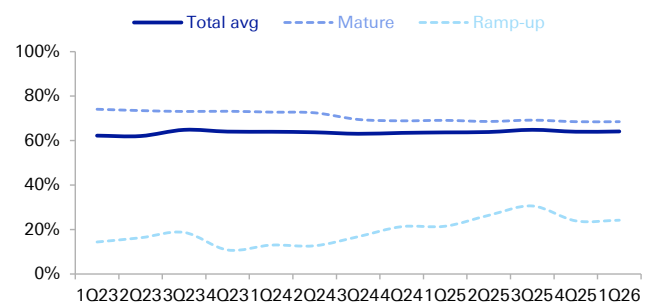
Source : Company data, Deutsche Bank

Figure 14: Retail capacity utilized



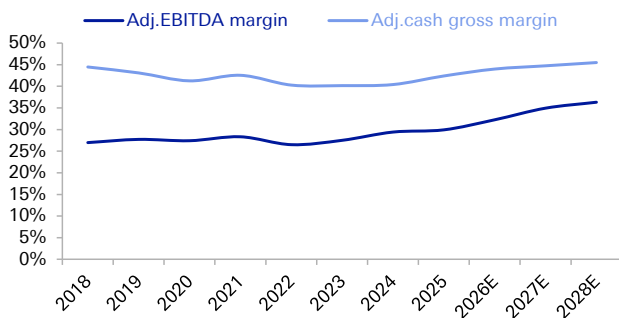
Source : Company data, Deutsche Bank

Figure 15: Retail utilization rate



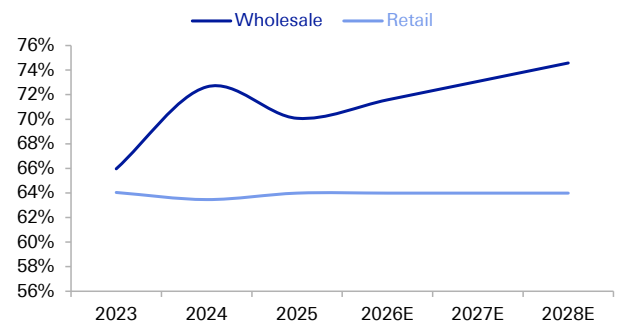
Source : Company data, Deutsche Bank

Figure 16: Adj.EBITDA margin & cash gross margin forecasts



Source : Company data, Deutsche Bank estimates

Figure 17: Average utilization forecasts



Source : Company data, Deutsche Bank estimates

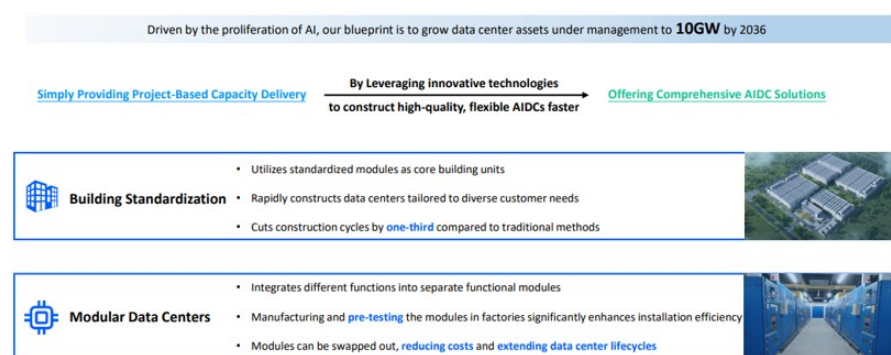


Potential upside from overseas expansion

The company has a target to grow to 10GW in capacity under management over 10 years. This target includes spun-off projects under REITs, but we assume a slower build, with it reaching ~5GW in that time frame. Some of that growth will likely come from overseas expansion, with South-east Asia being a target for first step (esp. Thailand and Malaysia), which could serve as potential upside to our estimates.

Regardless, we have doubts whether demand and economics will hold up enough to allow the company to basically add its current capacity every year. But if it gets to 5GW, that will still represent a major transformation.

Figure 18: VNET's hyperscale 2.0 framework for future development



Source : VNET 2Q25 results presentation

Diversified capital access to fund capex

VNET's capital-intensive growth is supported by an increasingly diversified capital structure. The company has guided 2026 capex at RMB10-12bn, for adding 450-500MW capacity.

Funding sources include:

- **Project debt.** Debt remains the primary source, with 70-80% LTV on project level (vs. 60% at GDS). The corresponding interest rates are mainly floating at LPR (3%) minus several dozen basis points, as per the company.
- **REITs.** VNET has successfully established an efficient capital recycling model by monetizing its data center assets through REITs. This strategy provides significant cash proceeds for reinvestment. The company so far has launched three private REITs and has another C-REIT (backed by an 18MW project) awaiting approval. Going forward, the company expects to focus more on private REITs due to the structure's better flexibility. The details of the three listed private REITs are as follows.
 - In November 2025, VNET launched a real estate green ABS with a total offering size of RMB0.86bn, utilizing Tier-1 retail IDCs as the underlying assets. The deal was valued at ~13x EV/EBITDA, and VNET retained a 7% stake (de-consolidated).
 - In March 2026, the company listed two additional private REIT projects on the Shanghai Stock Exchange, backed by wholesale IDC assets in Ulanqab and Taicang. These had a combined offering

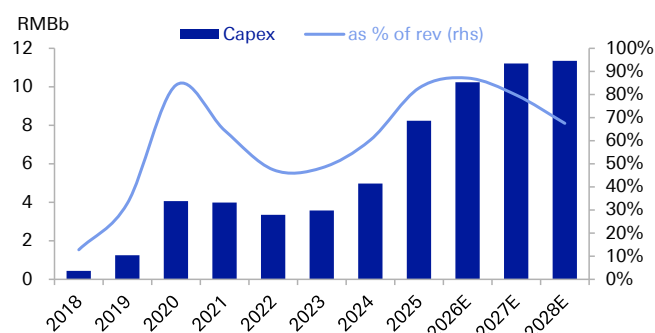


size of RMB6.4bn and were valued at 13x-14x EV/EBITDA. VNET retained a 30% stake in these projects (still consolidated) and expects to realize over **RMB2bn cash proceeds** (with the balance representing debt in the REIT).

- **Operating cash flow** of ~RMB2bn per year and **cash** on hand (incl. short-term investments) of RMB6.6bn as of Dec 2025.
- **Convertible notes.** The company had outstanding CBs with principal amount of RMB5.1bn. This includes the 2027CB (RMB2.2bn, conversion price at US\$11) and the 2030CB (RMB2.9bn, 2.5% coupon rate, conversion price at US\$13.75), which provides long-term capital with cash or equity settlement options.

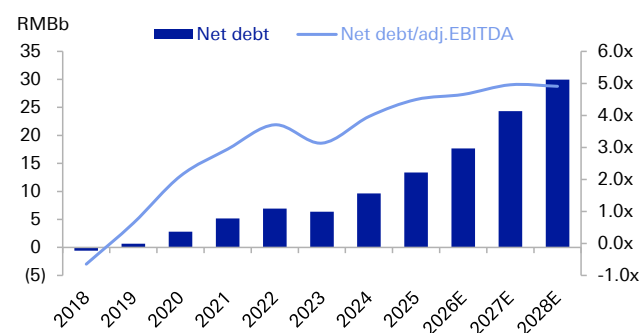
We think the key is asset monetizations. So long as the market has appetite to buy its mature data centers at double-digit EV/EBITDA multiples, it will have a solid funding channel. Each RMB2bn raised would fund a 100MW build, so allowing for project financing as well, there seems a strong opportunity to build a development model. We are not factoring such a model into our assumptions.

Figure 19: Capex & capex to revenue ratio



Source : Company data, Deutsche Bank estimates

Figure 20: Net debt & net debt/adj.EBITDA



Source : Company data, Deutsche Bank estimates

Strategic investor change and synergies

The company announced a major shareholder change on May 13th, 2026. The CATL affiliate PJ Millennium Partnership has agreed to purchase 38.1% of the Class A ordinary shares from Shandong Hi-Speed Holdings Group (SDHG) at US\$8.69 per ADS. The transaction is expected to close in 4Q26, pending certain conditions, including approval by the shareholders of SDHG.

The market reacted positively towards the release, with shares bidding up 25% in the subsequent trading day. This removes the overhang of the largest shareholder's sell-down and introduces potential for better synergies. Management has identified several key areas for collaboration, including energy-storage technology, supply chain resources, and global footprint. We do not see why CATL would provide exclusive terms to a single IDC operator, so are skeptical about synergies, but we do take a lot of comfort in future direction that can come from having one of the world's leading companies as its major shareholder.

The company expects that by leveraging CATL's supply chain and expertise in



energy storage, particularly its HVDC technology, it can enhance its capabilities in green and high-performance data center construction. CATL's global presence should also complement VNET's overseas expansion strategy, particularly in securing resources and facilitating funding. This strategic alignment reinforces VNET's leading position and its ability to capture the structural opportunities arising from AI demand.

Figure 21: Shareholder structure as of Mar 31, 2026

Shareholders	No. ordinary shares	% of ownership	% of voting rights
Shandong Hi-Speed Holdings Group (SDHG)	650,424,192	38.1%	32.7%
Sheng Chen (Founder & CEO)	553,737,207	32.4%	40.8%
Other management staff	8,213,778	0.5%	1.5%
Norges Bank	93,195,744	5.5%	4.7%
Others less than 5%	402,578,937	23.5%	20.3%
Total	1,708,149,858	100.0%	100.0%

Source : Company data, Deutsche Bank



Industry trends

Demand: cloud & AI capex fueling the up-cycle

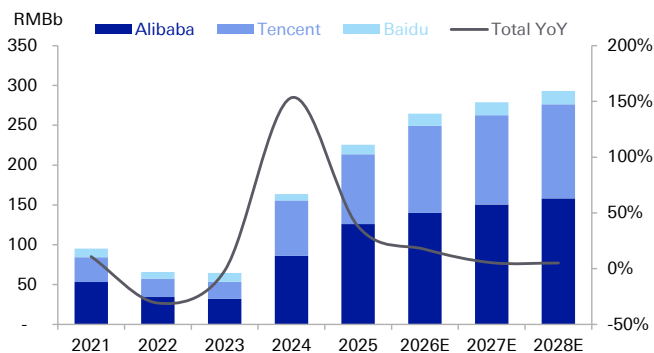
China's data center market has rebounded since 2024, with revenue growth accelerating and capacity utilization ticking up. This upward cycle is primarily driven by a significant expansion in cloud capex to support AI development. Beyond traditional hyperscalers, we are now seeing AI model companies emerging as a new class of tenant, and committing to large-scale standalone projects.

These AI deployments typically require 1) short lead times - with rapid delivery (6-9mths) from contract signing, faster move-in (6mths), and faster second phase initiations (6mths); 2) longer contract duration (~10yrs); 3) massive scale (50MW+) with high power density and low PUE, usually utilizing green energy and liquid cooling.

We detail three key customer categories and their capex plan below.

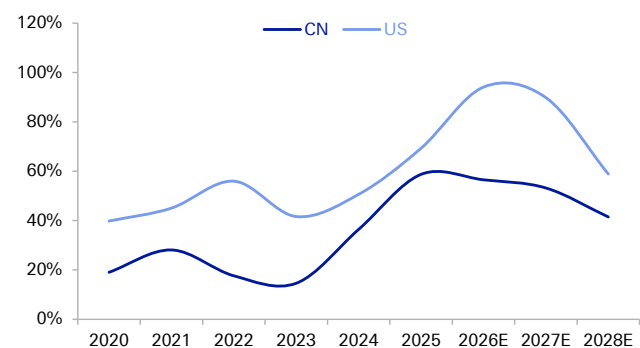
- **Hyperscalers.** The same companies remain the major source of demand for new capacity, and thus their capex plans serve as a leading indicator for the IDC industry. The consensus for the combined capex of the BATs (Baidu, Alibaba, and Tencent) is RMB263bn in 2026 and RMB276bn in 2027. While ByteDance's budget alone may reach RMB476bn/RMB680bn in 2026/27, according to Bloomberg. Compared with their US peers, the BAT's capex to operating cash flow ratio is still relatively healthy.
- **Telcos.** While cloud and data center businesses have been a focus of telcos' growth strategies, their capex on computing infrastructure is markedly lower than hyperscalers' and largely remained stable over the past few years, although they may lead a government led build out.
- **Government.** The government is reported by Bloomberg in early June for a RMB2tn investment push in AI data centers over the next five years, though there hasn't been any official announcement yet. We have estimated that this could lead to a more than doubling of industry capacity and potential oversupply issues if it fully materializes (see our [previous note here](#)).

Figure 22: China cloud hyperscalers' capex



Source : Bloomberg Finance LP, Deutsche Bank
Note: We use fiscal-year data for Alibaba, and BBG consensus for estimated periods

Figure 23: China vs. US hyperscalers' capex to operating cash flow



Source : Bloomberg Finance LP, Deutsche Bank
Note: We include Amazon, Microsoft, Google and Meta for US hyperscalers; Estimates based on BBG consensus



Figure 24: Major downstream customers capex

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capex (RMBm)									
Telecom			73,027	89,582	87,561	66,072	80,850		
China Mobile (computility)			33,500	39,100	37,100	23,276	37,800		
China Telecom (industrial digitalization)			27,111	35,582	32,730	20,100	25,550		
China Unicom (computility)			12,417	14,900	17,731	22,696	17,500		
Internet/cloud			105,843	113,642	243,760	395,618	738,535	955,653	1,001,231
Alibaba	41,450	53,324	34,352	32,087	85,972	126,063	136,658	146,820	152,169
Tencent	39,417	31,006	23,205	21,365	69,654	87,482	110,416	112,801	118,593
Baidu	5,084	10,896	8,286	11,190	8,134	12,073	15,461	16,033	16,469
ByteDance (private)			40,000	49,000	80,000	170,000	476,000	680,000	714,000
YoY (%)									
Telecom				22.7%	-2.3%	-24.5%	22.4%		
China Mobile				16.7%	-5.1%	-37.3%	62.4%		
China Telecom				31.2%	-8.0%	-38.6%	27.1%		
China Unicom				20.0%	19.0%	28.0%	-22.9%		
Internet/cloud				7.4%	114.5%	62.3%	86.7%	29.4%	4.8%
Alibaba	28.6%	-35.6%	-6.6%	167.9%	46.6%	8.4%	7.4%	3.6%	
Tencent	-21.3%	-25.2%	-7.9%	226.0%	25.6%	26.2%	2.2%	5.1%	
Baidu	114.3%	-24.0%	35.0%	-27.3%	48.4%	28.1%	3.7%	2.7%	
ByteDance			22.5%	63.3%	112.5%	180.0%	42.9%	5.0%	

Source: Company data, Bloomberg Finance LP, Deutsche Bank estimates

Supply: market, pricing, and competition

MIIT's figures indicate a clear ramp up of data center supply nationwide in 2025, increasing 53% to 13.72m standard racks or 34GW. If we factor in the RMB2tn investment from government, plus 3-5GW per year from the private sector, then we estimate the industry will grow at ~21% CAGR till 2030 in terms of power capacity, and substantially more rapidly in terms of computing power given improvements in processing capabilities.

The supply-side landscape is highly fragmented. Market participants can be broadly segmented into three main categories: state-owned telecom carriers, third-party IDC providers, and in-house builds by enterprises themselves.

For hyperscalers, while some like Baidu, Alibaba, and Tencent, do build and operate their own data centers, they still rely heavily on third-party players for the majority of their capacity needs. The project management complexity, capital intensity, and regulatory hurdles associated with self-builds make renting space a more efficient option for them.

Telecom carriers

We estimate that the three telcos (China Telecom, China Mobile, and China Unicom) collectively account for 35-40% of China's data center capacity in service in 2025. While this represents a decline from around 50% five years ago, their massive scale and nationwide presence continue to render them the price leader. Given their bundling and relatively aggressive pricing strategies in 1H this year, we think a significant and across-the-board price hike is not likely to happen in the near term.

Historically, the three telcos dominated the market by capitalizing on their extensive connectivity resources and customer relationships, particularly with government and SOEs. The market has since transitioned to a hybrid structure where services



are jointly provided by both telcos and third-party IDC operators.

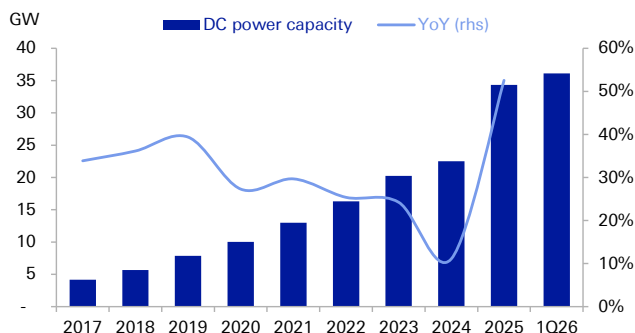
The telcos skew their portfolio to remote areas (e.g. Guiyang, Ningxia, etc.) versus third-party operators, as part of a national layout. In Tier-1 cities, even telcos rent from third-party players for better economic efficiency.

Third-party IDC providers

This includes VNET (DBE: 3% market share in 2025) and its most direct competitors, such as GDS, Chindata, Range Intelligence, etc. These specialists have successfully captured market share by offering better flexibility and customization, notably with market-driven arrangements and carrier-neutral value proposition that frees clients from network lock-in.

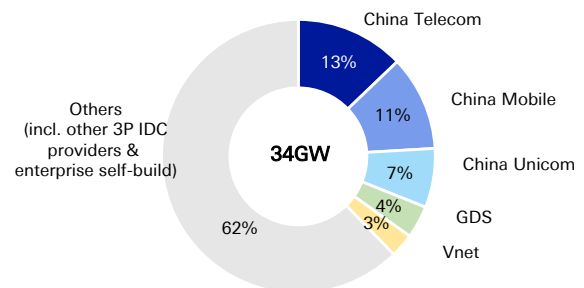
While there are some scale economies, it is a commoditized business, as seen by the lack of profitability across operators. Most hyperscale customers strategically employ a multi-vendor architecture ("white list") to diversify supply chain risk and to foster a competitive bidding environment. Comparative advantage and profitability hinges on their asset portfolio, customer mix, operational excellence, and capital access, especially in the absence of market rates inflation. Gaining an edge is achieved by acquiring quality land and power allocations during market downturns.

Figure 25: China data center capacity in service



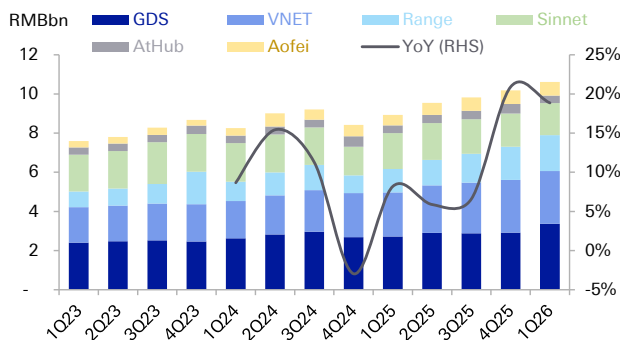
Source : MIIT, CAICT, Deutsche Bank

Figure 26: China data center share by power capacity in 2025



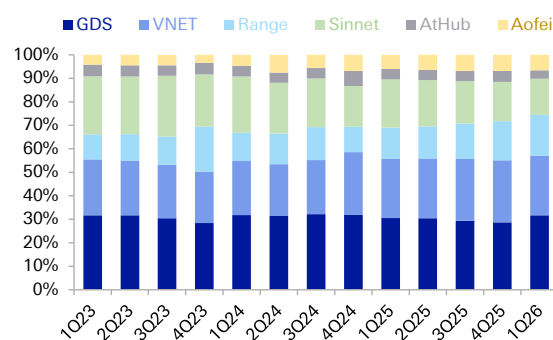
Source : Company data, MIIT, Deutsche Bank estimates

Figure 27: Third-party IDC players' revenue



Source : Bloomberg Finance LP, Deutsche Bank

Figure 28: Third-party IDC market breakdown



Source : Bloomberg Finance LP, Deutsche Bank



Policy: national layout and controls

Since the "East Data, West Compute" project was launched four years ago, China's data center market has gradually moved west. The project outlined "eight hubs and ten clusters" to channel more computing resources from the developed east to resource-rich west. It was reinforced in the 15th Five Year Plan, with a nationally integrated computing network as a focus. According to the MIIT, national hubs hosted 72.6% of the country's data center capacity as of mid-2025, and accounted for 80% of the incremental "computility" added during the year.

Meanwhile, the government has been tightening supply in the east, especially in higher-tier markets. Since 2023, a series of directives have been issued, explicitly prohibiting the new build of large-scale data centers (over 7.5MW/3k racks) outside national hubs. The NDRC later enforced this with a stringent "window guidance" pre-approval mechanism for land use and power quotas, which has become the primary gatekeeper for new development. Projects that fail to clear it are effectively blocked from all subsequent development steps.

Based on our talks with VNET's IR team, the approval rate for the first two batches of applications this year remains low (at around 10%). Operator's track record, order backlog, project PUE design, and use of green power are the priorities for selection.

In our view, these regulatory dynamics not only point to the west as the direction for IDC expansion, but at the same time creates a clear advantage for established incumbents who have already secured land banks and power quotas in Tier-1 & satellite areas as well as the strategically important western hubs.

Figure 29: All large DC builds are included for "window guidance" approval

Project scale	Definitions	Pre-approval needed?
Large	1. Number of racks $\geq 3,000$ 2. Power capacity $\geq 7.5\text{MW}$ 3. Server procurement $\geq \text{RMB } 1\text{bn}$	Yes
Medium	1. Number of racks: 1,000 - 3,000 2. Power capacity: 2.5 - 7.5MW 3. Server procurement: RMB 300mn - 1 bn	Only needed for projects with the participation of local governments or SOEs
Small	1. Number of racks $< 1,000$ 2. Power capacity $< 2.5\text{MW}$ 3. Server procurement $< \text{RMB } 300\text{mn}$	Governments & SOEs are not permitted to participate

Source : NDRC, MIIT, NDA, Deutsche Bank



Figure 30: China's recent policies on data center and computing infrastructure

Date	Policies	Regulator	Key goals & measures
Mar-26	Outline of the 15th Five-Year Plan (2026-30) "十五五"规划纲要	CPC Central Committee	Deepen "EDWC" project and enhance national computing power network. Coordinate the layout and orderly construction of computing infra, accelerate buildouts in national hubs with explorations into mega-scale clusters . Meeting computing demand through various methods, incl. govt procurement and market-driven leasing
May-25	The action plan for computing power interconnection 算力互联互通行动计划	MIIT	1) By 2026, a) establish identification and standards for computing power interconnection, b) construct a three-tiered (national/regional/industry) computing power interconnection platform , c) achieve interconnection of public computing power from leading enterprises nationwide 2) By 2028, realize standardized interconnection of public computing power , gradually forming a computing power internet with intelligent perception, real-time discovery, and on-demand access
Dec-24	Guidelines for national data infrastructure construction 国家数据基础设施建设指引	NDRC, NDA, MIIT	Construct a national computing power network orchestrating platform; promote 400G/800G OTN between national hubs and access locations; guide telcos to further integrate computing and network resources
Jul-24	Special action plan for green and low-carbon development of data centers 数据中心绿色低碳发展专项行动计划	MIIT, NDA, NDRC, NEA	1) By 2025, DCs' overall utilization ≥60%, PUE<1.5; Hyperscale new builds PUE<1.25 ; DCs in national hubs PUE ≤1.2 2) By 2030, reaching international leading level in electricity utilization, unit computing power efficiency, and carbon efficiency
Dec-23	Implementation opinions on advancing the "east data, west computing" project to speed up the build of national computing power network 深入实施"东数西算"工程, 加快构建全国一体化算力网的实施意见	NDRC, NDA, MIIT, Office of the Central Cyberspace Affairs Commission, NEA	Stipulate that no new large DCs shall be built outside national hubs in principle and form a preliminary comprehensive computing infra system by 2025: 1) >60% of computing power new adds in national hubs , with utilization much higher than national average 2) >80% of new adds in national hubs using renewable energy 3) Pilot latency circle of "1-5-20ms" (cities/regions/national hubs) 4) Cheaper and more accessible computing power 5) Significantly reduced network transmission costs among national hubs
Oct-23	Action plan for the high-quality development of computing infrastructure 算力基础设施高质量发展行动计划	MIIT, Office of the Central Cyberspace Affairs Commission, PBOC, SASAC, etc.	2025 Targets: 1) Total computing power >300EFLOPS, intelligent share ≥ 35% 2) OTN coverage ≥80%, latency among national hubs ≤1.5x theoretical value, >40% backbone and metropolitan area network supports IPv6 and SRv6 3) Storage capacity >1800EB, advanced share >30% 4) Increasing adoption in key industries
Feb-22	"East data, west computing" "东数西算"	NDRC, Office of the Central Cyberspace Affairs Commission, MIIT, NEA, etc.	To establish eight national computing hubs and ten clusters to channel more computing resources from the country's eastern regions to its less developed yet resource-rich western areas

Source : China government authorities, Deutsche Bank

Economics in the west

Aside from some remote western nodes serving as training centers, there is also a trend for inference demand to spill over from Tier-1 cities to satellite areas (e.g., Kunshan/Changshu in Jiangsu and Langfang/Huailai in Hebei) and subsequently even to some closer western clusters (e.g., Ulanqab/Horinger in Inner Mongolia).

Based on our channel checks, most current inference orders in the Northwest are gravitating towards Inner Mongolia and Ningxia, driven by cheaper land and utility costs, and reduced operating expenses due to cold weather and lower PUE. Latency, which is critical for inference, is favorable particularly in Ulanqab and Horinger, with only 5ms RTT to Beijing. This is sufficient for most inference scenarios including 2C applications, given many are not yet revenue-generating. However, as more latency-sensitive scenarios emerge and 2C monetization begins, we expect more deployments to return to areas surrounding tier-1 cities.



Figure 31: Eight hubs and ten clusters under "EDWC"

	Eight hubs	Ten clusters	Latency (ms)*	Computility**	% of total
Eastern	Beijing-Tianjin-Hebei	Zhangjiakou	<3	256	16.1%
	Yangtze River Delta	Delta pilot	<3	n.a.	
		Wuhu	<5	35	2.2%
	Greater Bay Area	Shaoguan	<3	16	1.0%
	Chengdu-chongqing	Tianfu	~20	254	16.0%
		Chongqing	~20	n.a.	
Central &	Inner Mongolia	Horing	<3	237	14.9%
Western	Guizhou	Guian	~10	150	9.4%
	Gansu	Qingyang	~10	114	7.2%
	Ningxia	Zhongwei	~10	130	8.2%
Subtotal				1,192	74.9%

* One-way, to the nearest tier-1 city

** Intelligent computility by end-2025, EFLOPS/FP16

Source : Communications Weekly, Deutsche Bank

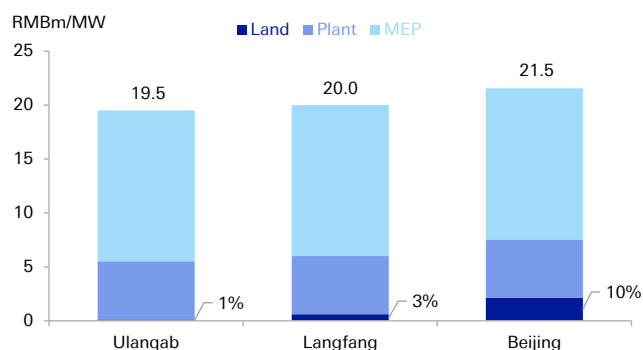
We have examined the economics in different tier markets, including Tier-1 (Beijing), satellite (Langfang), and closer-western (Ulanqab), and modeled their corresponding unit capex and development yield (Figure 32 & Figure 33). We note that while unit capex in Ulanqab is around 10% lower than in Beijing, the development yield is very similar across these cities at 10-11%.

Power is a major cost for hyperscaler clients, and the electricity price (~RMB0.3/kWh) in Ulanqab is considerably lower than that in Langfang and Beijing (RMB0.5/kWh & RMB1.0/kWh). This, coupled with lower rental costs, and a colder location, makes Ulanqab attractive as a site for AIDCs.

Key market assumptions incorporated in our model include:

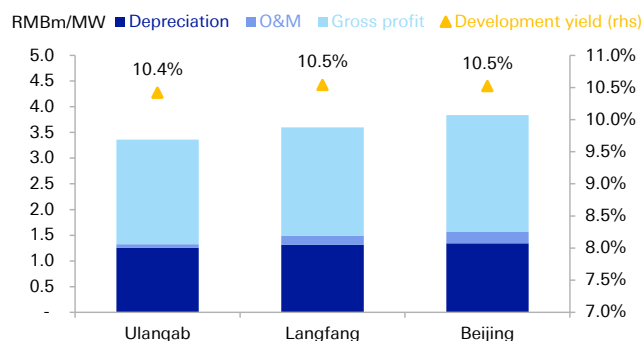
- RMB20m/MW unit capex on average, with land and plant costs representing roughly 30%, and the rest mainly covering diesel generator, UPS, cooling, etc.
- Rental price in Ulanqab at RMB260-280/kW/mth, compared with over RMB 300/kW/mth in Beijing.

Figure 32: Unit capex breakdown by region



Source : Deutsche Bank estimates

Figure 33: COGS breakdown and development yield



Source : Deutsche Bank estimates



Valuation and risks

We use DCF model for valuation, which in our view is the most appropriate method as it effectively captures the long-term growth and profitability of the company, and aligns with our methodology for the rest of our coverage. We also cross-check the implied multiples with peers and the company's own trading history.

DCF

The DCF-based one-year forward target price is US\$12.5, implying a 2027 EV/adj.EBITDA of 11.3x. Our DCF assumptions are shown below.

- **WACC:** We adopt a WACC of 7.8%, derived with a risk-free rate of 1.8% (to reflect China's 10yr govt bond yield), beta 1.25x, a market risk premium 6%, after-tax cost of debt 3.2%, and long-term gearing 25%.
- **Terminal growth:** We use -0.7%, which is calculated through a formula that accounts for inflation (RFR less 1.5%), and productivity led decay (-1.0%).

Figure 34: DCF valuation

DCF	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Risk free rate	1.8%									
Beta	1.25									
Mkt risk premium	6.0%									
Cost of equity	9.3%									
Interest post tax cost (LT money)	3.2%									
Gearing (LT debt / equity)	25%									
WACC	7.8%									
Unlevered DCF (USDm)										
Unlevered FCF	(1,251)	(906)	(735)	(290)	142	433	581	799	1,095	1,304
EV	6,802	8,582	10,156	11,681	12,880	13,741	14,376	14,914	15,276	15,369
Starting net cash (debt)	(2,597)	(3,633)	(4,473)	(4,888)	(5,673)	(5,473)	(5,204)	(4,833)	(4,227)	(3,474)
Minority interest	(1,115)	(1,163)	(1,196)	(1,231)	(521)	(559)	(599)	(641)	(685)	(731)
Equity value	3,090	3,786	4,486	5,563	6,686	7,708	8,574	9,441	10,364	11,164
Per ADS (USD)	11.4	13.6	16.0	19.5	23.0	26.0	28.4	30.7	33.0	34.8
EV/adj. EBITDA	12.2	11.7	11.1	10.5	9.7	8.9	8.1	7.4	6.8	6.2
EV/revenue	3.9	4.1	4.0	4.0	3.8	3.7	3.5	3.3	3.1	2.9

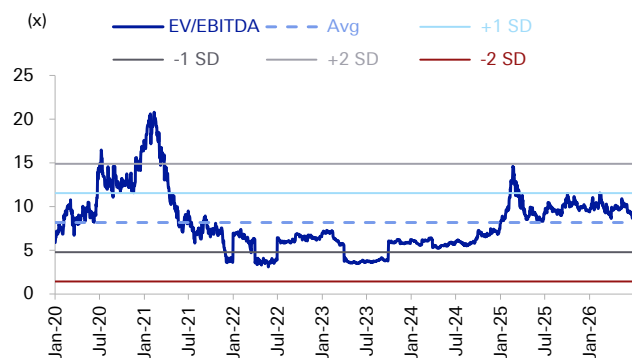
Source : Deutsche Bank estimates, Bloomberg Finance LP

Multiples and comps

VNET is currently trading at 8.6x 12m-fwd EV/adj.EBITDA, slightly above its average of 8.2x since 2020, but well below recent peaks at 14.6x. On a relative basis, it trades at a significant discount to both domestics peers (7.7x vs 13.5x 2027 EV/adj.EBITDA median) and global peers (20.6x median).

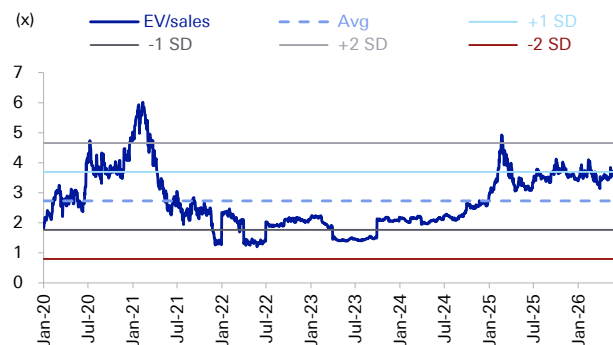


Figure 35: 12mth-fwd EV/EBITDA



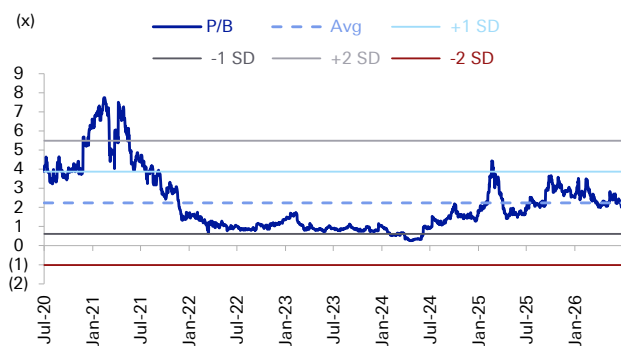
Source : Bloomberg Finance LP, Deutsche Bank

Figure 36: 12mth-fwd EV/sales



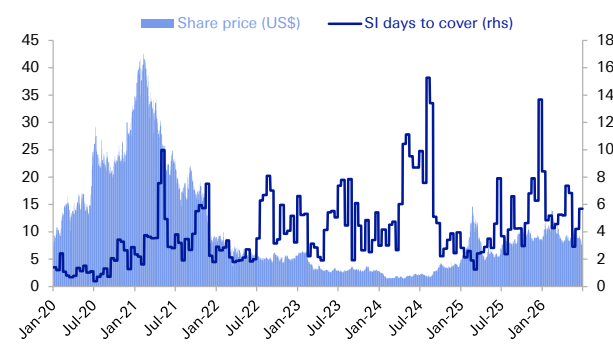
Source : Bloomberg Finance LP, Deutsche Bank

Figure 37: 12mth-fwd P/B



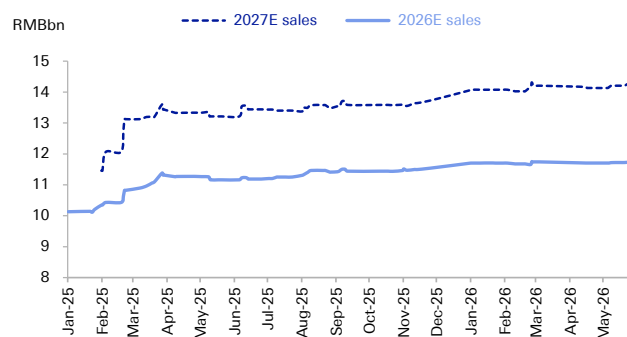
Source : Bloomberg Finance LP, Deutsche Bank

Figure 38: Short ratio (days to cover)



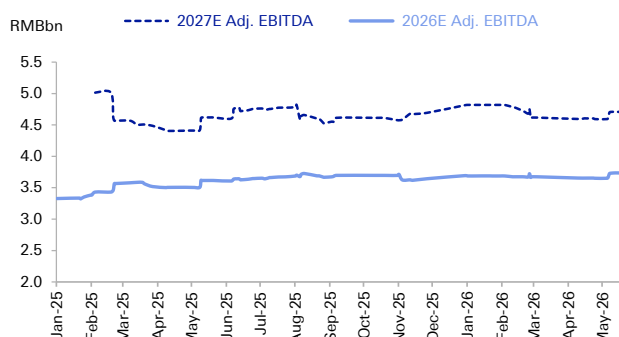
Source : Bloomberg Finance LP, Deutsche Bank

Figure 39: BBG consensus revenue



Source : Bloomberg Finance LP, Deutsche Bank

Figure 40: BBG consensus Adj. EBITDA



Source : Bloomberg Finance LP, Deutsche Bank



Figure 41: Comps table

Data centers

Deutsche Bank

30-Jun Company	Price	Upside* (%)	MCap USDb	EV/EBITDA (x)			P/E (x)			FCF Yield (%)		Div yield		Rel. P/E	Real DY	Payout Ratio	Px/ Book	Net debt /EBITDA
2025	2026	2027	2025	2026	2027	2025	2026	2027	2026	2027	2026	2027	2026	2027				
China data center																		
VNET	7.51	117%	2.1	10.1	9.8	7.7	N/A	N/A	60	-61%	-57%	0%	0%	N/A	-2%	N/A	2.1	6.3
GDS	29.33	81%	5.9	22.6	13.2	12.0	186	102	98	-67%	-140%	0%	0%	1.4	-2%	0%	1.3	5.2
SUNeVision	4.35	93%	1.3	16.2	11.5	10.2	31	16	12	4%	7%	3%	4%	1.4	2%	27%	2.8	6.4
Range	83.07	42%	20.1	30.0	27.0	20.8	18	46	33	N/A	N/A	1%	1%	2.0	-1%	21%	8.2	3.4
Sinnet	12.44	13%	3.3	53.0	15.8	13.5	N/A	54	41	0%	3%	0%	1%	N/A	-1%	N/A	1.7	1.4
AtHub	25.00	34%	3.2	22.3	18.7	17.5	160	100	83	3%	2%	0%	0%	12.5	-2%	30%	6.1	0.7
Aofei	20.22	73%	2.9	21.8	17.1	14.1	135	63	45	N/A	N/A	0%	0%	9.2	-2%	10%	4.4	5.7
Median				22.3	15.8	13.5	135	59	45	0%	2%	0%	0%	2.0	-2%	21%	2.8	5.2
Global data center (REIT)																		
Equinix	1,085.17	13%	107.0	22.9	24.1	21.7	53	63	57	N/A	N/A	2%	2%	2.7	-2%	136%	7.4	4.0
Digital Reality	190.58	17%	68.2	26.2	22.9	20.6	103	95	89	0%	0%	3%	3%	4.2	1%	131%	2.9	4.9
Keppel DC	2.24	23%	4.2	22.8	20.7	19.8	12	19	18	6%	7%	5%	5%	0.7	3%	63%	1.3	5.8
Digital Core	0.51	47%	0.7	N/A	21.0	16.3	14	16	11	N/A	N/A	7%	8%	0.8	6%	98%	N/A	10.4
NTT DC REIT	0.94	45%	1.0	N/A	9.4	10.1	N/A	15	235	N/A	N/A	7%	8%	17.9	6%	0%	0.9	5.3
Digico infra	2.44	50%	0.9	N/A	25.2	21.1	N/A	21	15	N/A	N/A	4%	5%	N/A	3%	N/A	0.5	12.0
NEXTDC	14.58	40%	7.6	43.0	56.0	36.5	N/A	N/A	N/A	-30%	-46%	0%	0%	N/A	-2%	N/A	2.0	10.7
Median				24.6	22.9	20.6	33	20	38	0%	0%	4%	5%	2.7	3%	98%	1.6	5.8
Telecom infrastructure (tower, network, etc.)																		
China Tower	8.81	45%	19.8	4.0	3.3	3.2	16	9	8	N/A	N/A	7%	8%	0.8	6%	69%	0.6	0.9
American Tower	168.67	33%	78.6	5.1	6.7	6.4	9	15	14	5%	5%	4%	5%	1.0	0%	126%	2.8	1.0
Indus Towers	392.85	19%	11.0	16.5	16.7	16.2	33	25	24	6%	6%	4%	4%	0.7	-2%	0%	13.2	4.9
Tower Bersama	1,415.00	22%	1.8	17.0	10.0	9.8	42	22	21	7%	9%	3%	3%	1.7	-4%	74%	2.6	4.9
Mitratel	540.00	27%	2.5	11.3	7.7	7.5	27	20	19	10%	9%	4%	4%	1.5	-3%	98%	1.3	2.2
Crown Castle	78.63	29%	34.3	20.3	21.8	21.0	35	33	25	5%	5%	5%	5%	1.2	1%	187%	N/A	6.7
Digital Infra Fund	10.10	9%	3.2	N/A	10.0	10.0	7	9	9	10%	12%	9%	9%	0.4	7%	68%	0.6	(1.4)
Netlink Trust	0.98	15%	2.9	14.4	15.6	15.7	36	41	42	4%	6%	6%	6%	2.6	4%	254%	1.7	2.6
Median				14.4	10.0	9.9	30	21	20	6%	6%	5%	5%	1.1	1%	86%	1.7	2.4

*To Bloomberg consensus

Source : Deutsche Bank, Bloomberg Finance LP



Figure 42: Financial forecasts

Income Statement (Y.E. Dec)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Wholesale capacity (MW)	332	486	889	1,341	1,891	2,491	2,991	3,391	3,691	3,991	4,291	4,541	4,741
MRR (RMB/m)	-	568,473	590,949	561,402	550,174	544,672	544,672	544,672	550,119	555,620	561,176	566,788	572,456
Utilization	66.0%	72.6%	70.1%	71.6%	73.1%	74.6%	77.1%	80.1%	83.1%	86.1%	89.1%	91.6%	93.6%
Retail racks	52,233	52,107	49,863	48,866	47,888	46,931	45,992	45,072	44,171	43,287	42,422	41,573	40,742
RMB/rack/mth	9,846	9,593	10,168	10,168	9,964	9,765	9,570	9,378	9,191	9,007	8,827	8,650	8,477
Utilization	64.0%	63.5%	64.0%	64.0%	64.0%	64.0%	64.0%	64.0%	64.0%	64.0%	64.0%	64.0%	64.0%
Operating revenue	7,413	8,259	9,949	11,757	14,050	16,809	19,735	22,452	25,049	27,567	30,262	32,904	35,229
Cost of sales	(6,120)	(6,427)	(7,757)	(9,140)	(10,970)	(13,147)	(14,985)	(16,547)	(17,760)	(18,753)	(19,756)	(20,693)	(21,424)
Gross profit	1,292	1,832	2,192	2,617	3,080	3,662	4,750	5,905	7,289	8,814	10,506	12,211	13,806
Operating expenses	(3,263)	(1,163)	(1,412)	(1,597)	(1,681)	(1,917)	(2,173)	(2,386)	(2,582)	(2,753)	(2,927)	(3,178)	(3,399)
EBITDA	(155)	2,281	2,952	3,762	4,840	6,021	7,379	8,805	10,257	11,761	13,433	14,994	16,382
D&A	(1,816)	(1,612)	(2,172)	(2,742)	(3,441)	(4,276)	(4,802)	(5,286)	(5,549)	(5,701)	(5,854)	(5,961)	(5,976)
EBIT	(1,971)	669	780	1,020	1,399	1,745	2,577	3,519	4,708	6,061	7,579	9,033	10,407
Net interest	(270)	(373)	(561)	(766)	(863)	(1,087)	(1,273)	(1,324)	(1,360)	(1,294)	(1,214)	(1,137)	(1,045)
FX gains, development gains, and others	(245)	178	198	-	-	-	-	-	-	-	-	-	-
Pre-tax	(2,486)	475	417	254	536	658	1,304	2,195	3,348	4,766	6,365	7,896	9,361
Tax	(114)	(234)	(558)	(550)	(54)	(99)	(261)	(549)	(837)	(1,192)	(1,591)	(1,974)	(2,340)
Share of loss in associates	3	8	7	9	11	13	15	17	19	21	23	25	27
Minorities & other	(47)	(65)	(123)	(1,950)	(210)	(221)	(232)	(243)	(255)	(268)	(281)	(295)	(310)
Net Profit	(2,644)	183	(257)	(2,237)	283	352	827	1,420	2,275	3,328	4,515	5,651	6,738
Adjusted EBITDA	2,039	2,430	2,978	3,793	4,910	6,105	7,478	8,918	10,382	11,899	13,585	15,159	16,558
Adj EBITDA margin	28%	29%	30%	32%	35%	36%	38%	40%	41%	43%	45%	46%	47%
Balance Sheet	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash	5,455	2,038	6,559	5,292	1,431	1,799	5,024	2,221	3,560	3,365	2,852	3,908	5,956
Receivables	1,716	1,656	2,222	2,577	2,964	3,408	3,893	4,306	4,667	4,985	5,472	5,950	6,370
Other current assets	2,653	3,126	2,671	3,156	3,772	4,512	5,298	6,028	6,725	7,401	8,124	8,834	9,458
Current assets	9,823	6,820	11,452	11,026	8,167	9,719	14,215	12,554	14,952	15,750	16,448	18,691	21,784
Fixed assets	13,024	17,217	22,776	30,531	38,455	45,586	50,388	52,955	54,399	55,847	56,814	56,844	56,452
Intangibles	1,986	2,170	2,872	2,799	2,752	2,737	2,752	2,793	2,857	2,942	3,049	3,175	3,315
RoU assets	4,012	4,618	4,871	5,139	5,489	5,921	6,407	7,008	7,699	8,461	9,297	10,191	11,114
Goodwill, etc.	1,540	1,532	2,623	2,864	3,142	3,423	3,624	3,898	4,099	4,235	4,346	4,397	4,355
Total assets	30,386	32,357	44,594	52,359	58,006	67,387	77,386	79,208	84,005	87,236	89,954	93,297	97,020
Payables	4,479	4,327	6,201	6,028	7,208	8,626	10,084	11,425	12,679	13,878	15,155	16,403	17,492
ST borrowings	4,962	2,009	3,232	3,232	3,232	3,232	3,232	3,232	3,232	3,232	3,232	3,232	3,232
Lease liabilities	896	1,108	1,320	1,405	1,481	1,581	1,700	1,839	1,994	2,163	2,347	2,543	2,743
Other current liabilities	2,100	1,899	1,694	1,313	1,504	1,720	1,974	2,198	2,389	2,560	2,737	2,908	3,050
Current liabilities	11,437	9,343	12,447	11,977	13,425	15,159	16,990	18,694	20,294	21,833	23,472	25,086	26,517
LT borrowings	6,883	9,665	16,718	19,718	22,540	28,540	34,540	37,000	37,000	35,000	32,000	29,000	26,000
Lease liabilities	4,430	5,312	5,645	6,009	6,332	6,764	7,267	7,857	8,507	9,221	9,997	10,822	11,663
Other non-current liabilities	1,121	1,116	1,219	1,441	1,722	2,060	2,419	2,752	3,070	3,379	3,709	4,033	4,318
Total liabilities	23,872	25,436	36,030	39,145	44,019	52,523	61,214	66,302	68,871	69,432	69,178	68,940	68,498
Shareholders funds	6,014	6,366	6,218	5,629	6,193	6,849	7,925	9,416	11,389	13,791	16,482	19,768	23,623
Minorities	500	555	2,346	7,584	7,794	8,015	8,246	3,490	3,745	4,013	4,294	4,590	4,900
Total liabilities & equity	30,386	32,357	44,594	52,359	58,006	67,387	77,386	79,208	84,005	87,236	89,954	93,297	97,020
	-	-	-	-	-	-	-	-	-	-	-	-	-
Cashflow	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Net profit	(2,506)	342	(16)	(156)	634	720	1,216	1,829	2,704	3,778	4,986	6,145	7,254
D&A	1,816	1,612	2,172	2,742	3,441	4,276	4,802	5,286	5,549	5,701	5,854	5,961	5,976
SBC	118	35	149	26	30	70	84	99	112	125	138	151	165
Change in working capital & others	844	233	1,558	(1,395)	369	449	442	422	388	375	244	231	187
Operating cashflow	272	2,222	3,863	1,218	4,475	5,515	6,543	7,636	8,753	9,979	11,222	12,488	13,581
Capex (on PP&E & intangibles)	(3,327)	(5,722)	(8,374)	(10,424)	(11,319)	(11,392)	(9,619)	(7,894)	(7,057)	(7,234)	(6,927)	(6,116)	(5,724)
Disposals/impairments of fixed assets	(250)	(14)	-	-	-	-	-	-	-	-	-	-	-
Other assets purchased	306	(598)	(1,344)	(509)	(628)	(713)	(687)	(875)	(891)	(899)	(947)	(945)	(881)
Investing cashflow	(3,270)	(6,334)	(9,718)	(10,933)	(11,947)	(12,105)	(10,305)	(8,769)	(7,949)	(8,133)	(7,874)	(7,061)	(6,605)
Dividends paid	-	-	-	-	-	-	(81)	(284)	(682)	(1,331)	(2,258)	(2,826)	(3,369)
Finance lease interests	(91)	(93)	(118)	(132)	(141)	(147)	(157)	(166)	(175)	(182)	(190)	(198)	(206)
Equity investment & minorities	2,058	188	1,752	4,910	250	234	246	(4,743)	268	281	295	309	322
Change in ST debt	3,955	(2,740)	1,435	84	76	101	118	140	154	169	184	196	200
Change in LT debt	(1,548)	3,663	7,386	3,364	3,145	6,432	6,502	3,050	651	(1,287)	(2,223)	(2,176)	(2,159)
Other financing activity	348	(5)	103	222	281	338	359	333	318	309	330	324	285
Financing cashflow	4,723	1,013	10,558	8,449	3,611	6,958	6,987	(1,670)	535	(2,041)	(3,861)	(4,371)	(4,927)
Net change in cash	1,725	(3,099)	4,704	(1,266)	(3,861)	368	3,225	(2,803)	1,339	(195)	(513)	1,056	2,049
Free cashflow	(3,054)	(3,500)	(4,511)	(9,206)	(6,844)	(5,877)	(3,076)	(257)	1,696	2,745	4,295	6,372	7,857

Source : DB estimates, company releases



Key risks

- **Demand-supply pattern shift.** Our thesis of growth and margin expansion at VNET is based on strong demand from hyperscalers and a tightening effective supply of high-quality data centers in core regions. Any significant slowdown in AI demand, a major economic downturn affecting enterprise IT spending, or an overbuild of industry capacity could lead to softer revenue momentum, increased pricing pressure and lower utilization rates.
- **Regulations and geopolitics.** China's regulation on data centers is getting increasingly stringent, particularly concerning land and power approvals. Any major changes to these could impact VNET's competitive advantage, which is partly based on its strategic reserves portfolio. Meanwhile, heightened trade tension and restrictions on technology exports could disrupt the supply for hyperscaler clients, potentially dampening demand for AIDC resources.
- **Rising funding costs or inability to fund.** VNET's growth is largely capex driven, and it has substantial debt on floating basis. Although the company has diversified its financing channels through debt, REITs, convertible bonds, etc., a sustained rise in interest rates would increase borrowing costs and pressure interest coverage ratios. Any difficulty in raising additional funds could force the company to modify or delay its growth plans.
- **Technology upgrades:** AI is still in an early stage, and the AI tech stack will therefore change over time. When AI companies adopt a refresh cycle, that may lead to data center requirements changing, devaluing existing space.
- **Execution risk.** Delays in securing land and power resources, or obtaining necessary government approvals could hinder VNET's ability to meet customer demand. Also, worse-than-expected operations on contract wins, project delivery, or customer move-ins should lead to a downward estimate revision.
- **VIE structure.** The listed entity for VNET's ADRs is a Cayman Islands holding company, which controls the underlying Chinese operating entities through contractual arrangements rather than direct equity ownership. These contracts have not been tested in a PRC court, and there is a risk that PRC authorities could deem the structure non-compliant with local laws.



Acknowledgment

We would like to thank Sylvia Chen of Evalueserve for help in this report.



Model updated: 07 July 2026

Running the numbers

Asia

China

Telecommunications

VNET Group

Reuters: VNET.OQ

Bloomberg: VNET US

Buy

Price (6 Jul 26) CNY 7.81

Target Price CNY 12.50

52 Week range CNY 6.97 - 14.03

Market cap (m) CNYm 12,739
USDm 1,875.8

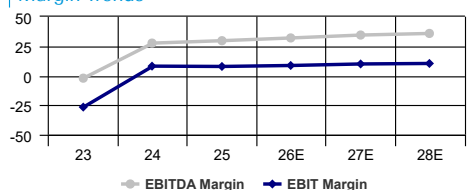
Company Profile

VNET builds, owns and manages data centers in China, as a carrier-neutral operator.

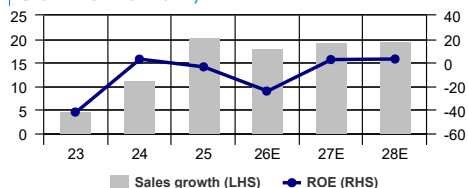
Price Performance



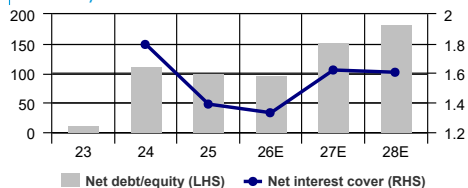
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	-0.50	0.19	-0.14	-1.35	0.21	0.26
Reported EPS (CNY)	-2.93	0.11	-0.16	-1.37	0.17	0.21
DPS (CNY)	0.00	0.00	0.00	0.00	0.00	0.00
BVPS (CNY)	6.7	4.0	4.9	6.5	6.7	7.0
Weighted average shares (m)	901	1,594	1,612	1,631	1,671	1,689
Average market cap (CNYm)	3,148	3,992	13,242	12,739	12,739	12,739
Enterprise value (CNYm)	3,658	11,448	21,424	26,964	35,697	41,455

Valuation Metrics

P/E (DB) (x)	nm	13.2	nm	nm	36.9	30.3
P/E (Reported) (x)	nm	23.8	nm	nm	46.0	37.5
P/BV (x)	0.43	1.19	1.72	1.20	1.17	1.11
FCF Yield (%)	nm	nm	nm	nm	nm	nm
Dividend Yield (%)	0.0	0.0	0.0	0.0	0.0	0.0
EV/Sales (x)	0.5	1.4	2.2	2.3	2.5	2.5
EV/EBITDA (x)	nm	5.0	7.3	7.2	7.4	6.9
EV/EBIT (x)	nm	17.1	27.5	26.4	25.5	23.8

Income Statement (CNYm)

Sales revenue	7,413	8,259	9,949	11,757	14,050	16,809
Gross profit	1,292	1,832	2,192	2,617	3,080	3,662
EBITDA	-155	2,281	2,952	3,762	4,840	6,021
Depreciation	1,816	1,612	2,172	2,742	3,441	4,276
Amortisation	0	0	0	0	0	0
EBIT	-1,971	669	780	1,020	1,399	1,745
Net interest income/(expense)	-270	-373	-561	-766	-863	-1,087
Associates/affiliates	3	8	7	9	11	13
Exceptionals/extraordinaries	-256	153	161	0	0	0
Other pre-tax income/(expense)	11	25	37	0	0	0
Profit before tax	-2,486	475	417	254	536	658
Income tax expense	114	234	558	550	54	99
Minorities	47	65	123	1,950	210	221
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	-2,644	183	-257	-2,237	283	352
DB adjustments (including dilution)	2,194	149	26	30	70	84
DB Net profit	-450	332	-231	-2,207	354	436

Cash Flow (CNYm)

Cash flow from operations	272	2,222	3,863	1,218	4,475	5,515
Net Capex	-3,577	-5,735	-8,374	-10,424	-11,319	-11,392
Free cash flow	-3,304	-3,513	-4,511	-9,206	-6,844	-5,877
Equity raised/(bought back)	2,058	188	1,752	4,910	250	234
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	2,407	922	8,821	3,449	3,221	6,533
Other investing/financing cash flows	564	-696	-1,359	-419	-488	-522
Net cash flow	1,725	-3,099	4,704	-1,266	-3,861	368
Change in working capital	844	233	1,558	-1,395	369	449

Balance Sheet (CNYm)

Cash and other liquid assets	5,098	2,038	6,180	4,986	1,348	1,695
Tangible fixed assets	13,024	17,217	22,776	30,531	38,455	45,586
Goodwill/intangible assets	1,986	2,170	2,872	2,799	2,752	2,737
Associates/investments	759	838	1,085	1,185	1,299	1,416
Other assets	9,519	10,095	11,682	12,858	14,151	15,953
Total assets	30,386	32,357	44,594	52,359	58,006	67,387
Interest bearing debt	5,867	9,777	14,811	17,811	22,811	28,811
Other liabilities	18,005	15,660	21,218	21,334	21,207	23,711
Total liabilities	23,872	25,436	36,030	39,145	44,019	52,523
Shareholders' equity	6,014	6,366	7,930	10,629	11,193	11,849
Minorities	500	555	634	2,584	2,794	3,015
Total shareholders' equity	6,514	6,921	8,564	13,213	13,987	14,864
Net debt	769	7,738	8,632	12,825	21,463	27,116

Key Company Metrics

Sales growth (%)	4.9	11.4	20.5	18.2	19.5	19.6
DB EPS growth (%)	28.7	na	na	-852.1	na	22.0
EBITDA Margin (%)	-2.1	27.6	29.7	32.0	34.4	35.8
EBIT Margin (%)	-26.6	8.1	7.8	8.7	10.0	10.4
Payout ratio (%)	nm	0.0	nm	nm	0.0	0.0
ROE (%)	-41.9	3.0	-3.6	-24.1	2.6	3.1
Capex/sales (%)	44.9	69.3	84.2	88.7	80.6	67.8
Capex/depreciation (x)	1.8	3.6	3.9	3.8	3.3	2.7
Net debt/equity (%)	11.8	111.8	100.8	97.1	153.5	182.4
Net interest cover (x)	nm	1.8	1.4	1.3	1.6	1.6

Source: Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
VNET Group	VNET.OQ	7.81 (CNY) 06 Jul 2026	7, 8, 14, 15, 21, 24, 26

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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8. Deutsche Bank and/or its affiliate(s) expects to receive, or intends to seek, compensation for investment banking services from this company in the next three months.
14. Deutsche Bank and/or its affiliate(s) has received compensation from this company within the past year for non-investment banking related services.
15. This company has been a client of Deutsche Bank Securities Inc. within the past year during which time it received investment banking services.
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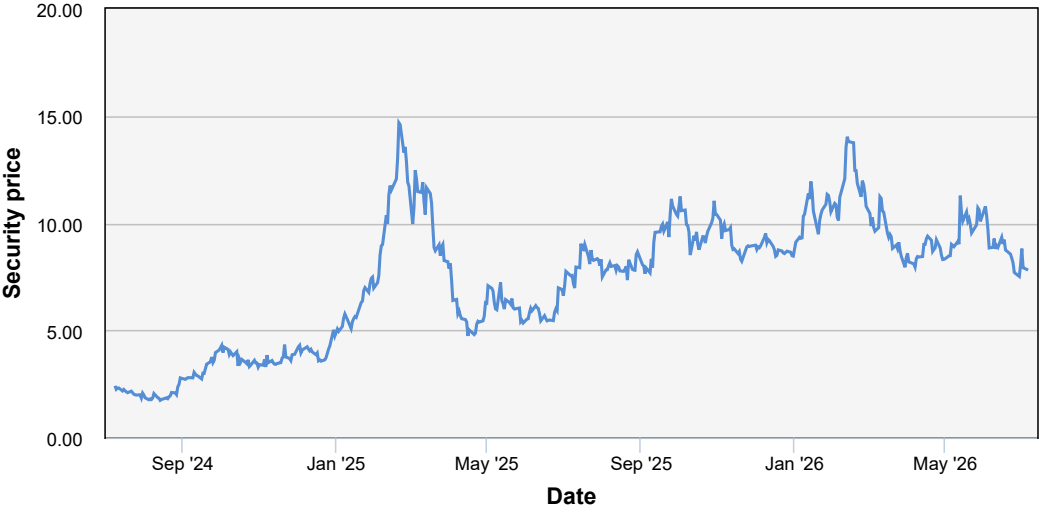
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Peter Milliken.



Historical recommendations and target price: VNET Group (VNET.OO)

(as of 07/06/2026)



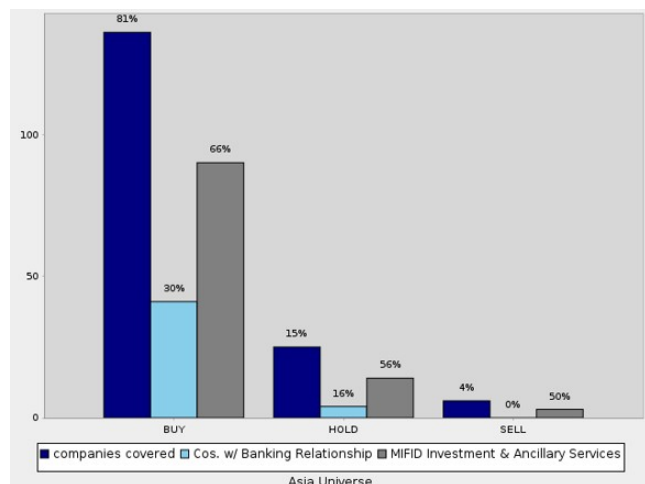
Current Recommendations

- Buy
- Hold
- Sell
- Not Rated
- Suspended Rating

** Analyst is no longer at Deutsche Bank



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold") recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the "Cos. w/ Investment Banking relationship" bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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